

The intellectual allure of pessimism has been known for ages. John Stuart Mill wrote in the 1840s: “I have observed that not the man who hopes when others despair, but the man who despairs when others hope, is admired by a large class of persons as a sage.”

The question is, why? And how does it impact how we think about money?

Let’s repeat the premise that no one is crazy.

There are valid reasons why pessimism is seductive when dealing with money. It just helps to know what they are to ensure we don’t take them too far.

Part of it is instinctual and unavoidable. Kahneman says the asymmetric aversion to loss is an evolutionary shield. He writes:

When directly compared or weighted against each other, losses loom larger than gains. This asymmetry between the power of positive and negative expectations or experiences has an evolutionary history. Organisms that treat threats as more urgent than opportunities have a better chance to survive and reproduce.

But a few other things make financial pessimism easy, common, and more persuasive than optimism.

One is that money is ubiquitous, so something bad happening tends to affect everyone and captures everyone’s attention.

That isn’t true of, say, weather. A hurricane barreling down on Florida poses no direct risk to 92% of Americans. But a recession barreling down on the economy could impact every single person—including you, *so pay attention*.

This goes for something as specific as the stock market. More than half of all American households directly own stocks.⁵⁷ Even among those that don’t, the stock market’s gyrations are promoted so heavily in the media